MONTREVE

Elevated Living in The Mountains

A private mountain resort with cabins for sale

24 turnkey cabins on 30 acres above Sevierville, with a glass wedding pavilion, dining, courts and trails at its heart

2481 Happy Hollow Road · Sevierville, Tennessee · Concept and feasibility, October 30, 2026

Discussion draft. Budgets are allowances, not bids; projections are scenarios, not promises.

The idea in one page

WHAT WE'D BUILD

- **24 cabins for sale**: the 7 financed homes finished and sold, and 17 new cabins on the remaining lots, all on the same 3-bed, indoor-pool plan.
- **A resort core on lots 10–15** along Amber Valley Way: a 6,000 sf glass wedding pavilion, a 2,500 sf dining and catering building, tennis and two pickleball courts, and a trail loop.
- **One operator** runs the venue, the owners' club and an optional rental program for cabin owners.

WHAT IT TAKES

$1,243k
break-even per cabin, cabins only

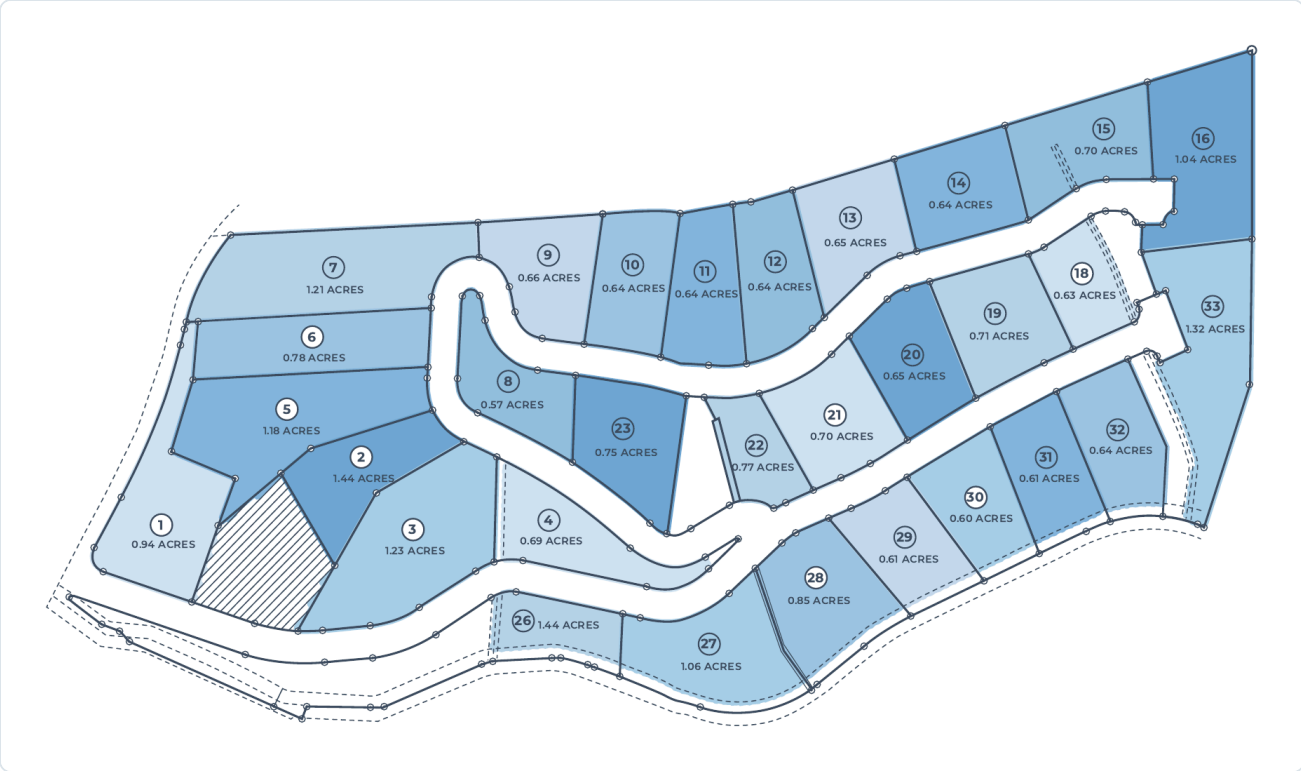
$1,413k
with a lean resort

$1,593k
with the full resort

$10.86M
peak cash need, full resort

Base costs, all-in: $7.13M already spent, financing and selling costs included. At **$1.30M a cabin** the project covers the cabins, site work and about **$0.64M** of amenities, not the full resort.

The property today



Location	2481 Happy Hollow Rd, Sevierville (Sevier Co. parcel 122 005.00)
Land	30.07 ac gross; 30 platted lots, 24.99 ac listed (2007 plat)
Roads	Amber Valley Way (upper), Creeksong Way (lower), 50 ft rights-of-way
Homes	7 financed homes under way: lots 1, 3, 6, 18, 21, 28, 30
Spent to date	$7.13M reported (land, contractor, soft, interest)
Debt	$5.30M on the 7 homes; maturity Jan 11, 2027

Lot 2 carries a 0.77 ac septic / utility easement (hatched). Utility service records conflict (public water and sewer vs. septic): a utility letter is the first diligence item.

The plan



PROGRAM

Use	Lots	Acres
Financed homes, finished and sold	1, 3, 6, 18, 21, 28, 30	5.73
New cabins for sale (17)	2, 4, 5, 7, 8, 9, 16, 19, 20, 22, 23, 26, 27, 29, 31, 32, 33	15.35
Glass pavilion and ceremony lawn	14, 15	1.34
Dining and catering	12, 13	1.29
Tennis and pickleball	10, 11	1.28

Will's program: pavilion 14–15, dining 12–13, courts 10–11. 60 event stalls shown. Traced to scale from the lot map; north assumed, no topography yet.

The resort core



Glass wedding pavilion · 6,000 sf

Ceremony and reception for 100–150 guests, a ceremony lawn on the view side, arrival parking on the road.

Dining and catering · 2,500 sf

Licensed caterers' kitchen, owners' dining and event service, with a service yard. Catering is outsourced at first.

Tennis and two pickleball courts

Fenced courts on lots 10–11, a short walk from the cabins.

Trail loop

A woodland walk round the property joining the cabins to the resort core.

Owners' club

Cabin owners and their renters use the amenities; dues fund upkeep. Weddings book the pavilion plus a block of cabins.

Development budget

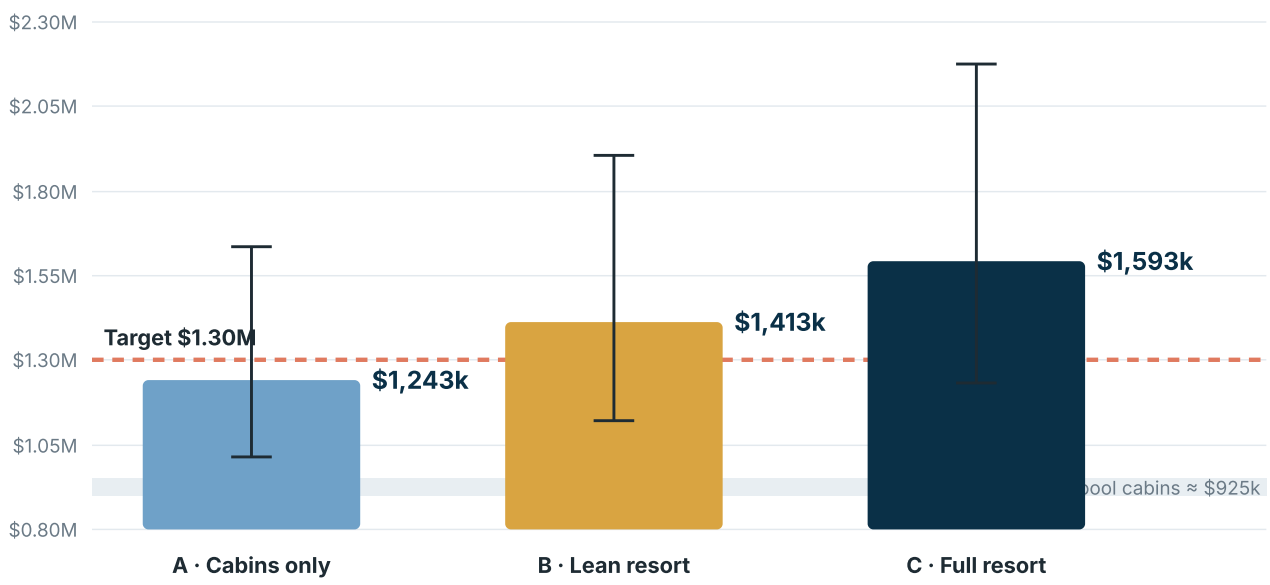
Full program, 24 cabins	Low	Base	High
Spent to date (reported)	$7.13M	$7.13M	$7.13M
Finish the 7 financed homes	$300,000	$600,000	$1.00M
17 new cabins ($946k each, $387/sf base)	$13.40M	$16.09M	$20.20M
Site work, utilities, roads, entitlements	$750,000	$1.35M	$2.75M
Resort amenities, full program	$4.69M	$7.20M	$10.35M
Financing (new spend and existing loans)	$1.28M	$2.61M	$5.94M
Marketing and holding	$250,000	$400,000	$650,000
Total cost, full program	**$27.80M**	**$35.37M**	**$48.03M**
Break-even per cabin (after 7.5% selling cost)	**$1,232k**	**$1,593k**	**$2,175k**

WHERE THE NUMBERS COME FROM

- **Cabins:** the project's own contract, $4.78M for 7 homes ($710k each with 4% escalation), plus lot work, furniture, soft costs and 8% contingency.
- **Amenities:** Will's allowances ($550/sf pavilion, $450/sf dining) with 20% contingency.
- **Financing:** 9% on 40% of new spend outstanding over 24 months plus 1% fees; the existing loans carried 9 months with extension fees.
- **Spent to date** is the Oct 20 cost report, not yet reconciled to the ledger.

These are allowances, not bids. Slope, rock and utilities can move the high case. The workbook has every line, with live formulas.

Break-even price per cabin



READING IT

- **Cabins only:** $1,243k breaks even, so **$1.30M clears $1.28M** before any resort.
- **Lean resort** (3,000 sf pavilion, service kitchen, courts, trails): $1,413k.
- **Full resort:** $1,593k; at $1.30M the full program loses $6.51M.
- Bars are base costs; whiskers run from the low to the high cost case.

For a 15% developer margin: $1,429k / $1,625k / $1,832k.

Making $1.30M work

At $1.30M a cabin, sales cover the cabins, the site work and about **$0.64M** of amenities. The full resort costs $7.20M and the lean one $3.50M. Ways to close the gap, best first:

1 · Build the resort in phases

Courts, trails and the owners' lawn first (about $0.4M), funded by cabin sales; the pavilion once enough cabins are sold, sized by bookings.

2 · Fund the venue separately

The pavilion and dining as their own company with its own investors and loan, leasing the land. Cabins carry only the club amenities.

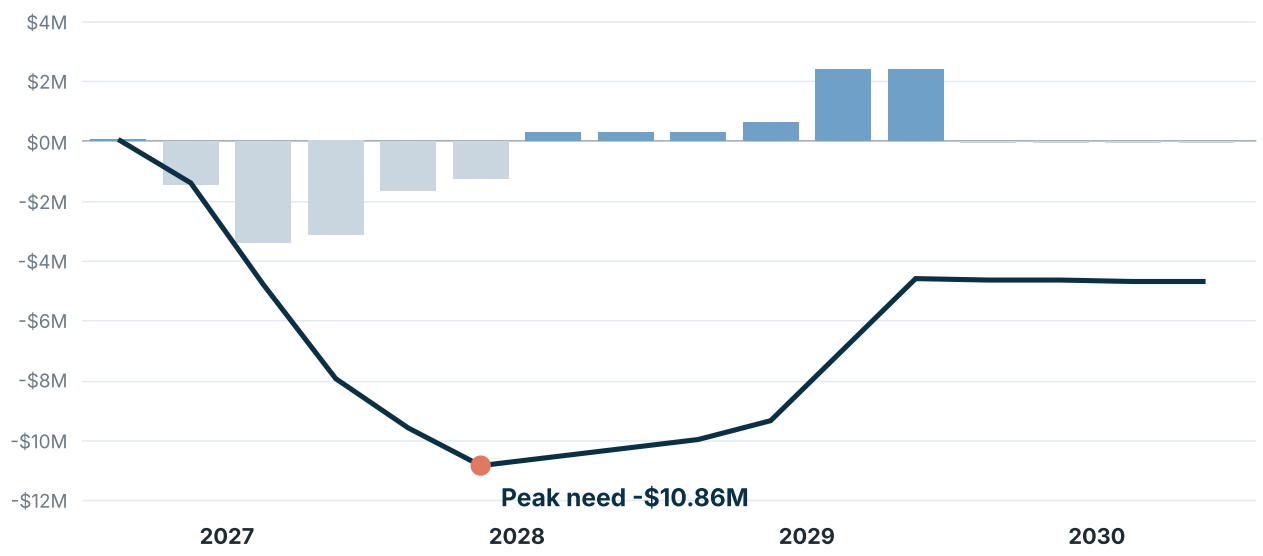
3 · Price for the resort

Every $50k on the price adds $1.11M of net sales. Lots 11–15 and 18–22 have the views; premium lots can carry more.

4 · Cut the cost of the cabin

$946k all-in today. Buying in volume for 17 identical cabins, and leaner finishes on the lower level, are the levers.

Cash flow: full program, base costs

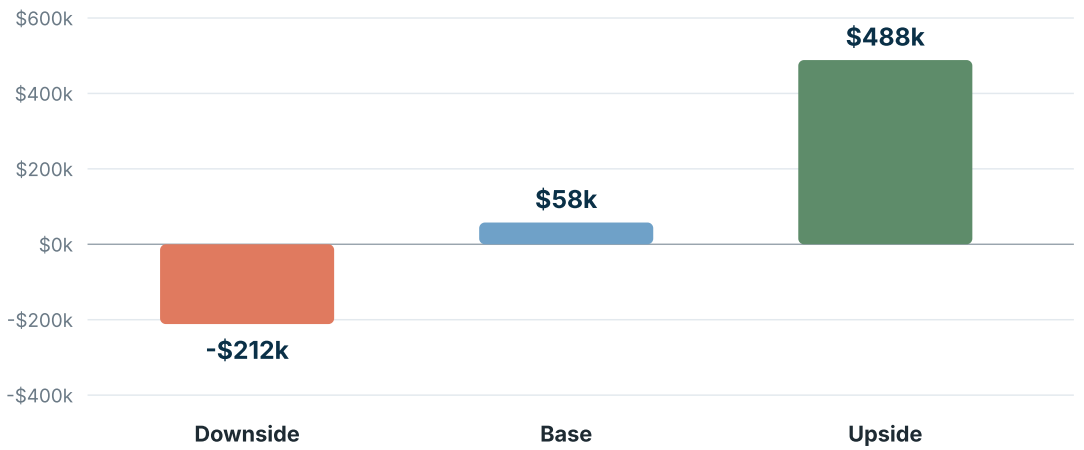


- Bars are net cash each quarter, the line the running total.
- The 7 homes sell first and repay the $5.30M loans.
- New cabins start in Q2 2027 and sell about 2 a quarter from Q4 2027.
- **Peak need $10.86M** in mid-2028: equity plus construction loans.
- Ends at -$4.68M: the full program at $1.30M doesn't recover the reported $7.13M spent to date.

Timing is in the workbook's Cash flow sheet and can be changed; pick program A, B or C there.

Resort operations: a stabilized year

Base year	
Venue fees: 35 weddings at $6,000, 10 retreats at $4,000	$250,000
Kitchen use, bar and rentals	$45,000
Other	$40,000
Rental management: 75% of cabins, $95,000 rent each, 25% fee	$427,500
Owner club dues ($450/month)	$129,600
Total revenue	**$892,100**
Event and other variable costs	-$104,500
Rental program costs	-$213,750
Staff, insurance, utilities, grounds, marketing	-$480,000
Replacement reserve 4%	-$35,684
Total: net operating income	**$58,166**



The resort core **pays its own way at the base case** but is not a profit center: it exists to sell cabins at a premium. In the downside, dues need to rise to about $1,117/month to cover it. Upside: 50 weddings at $8,000 and stronger rents make it worth about $5.42M at a 9% cap rate.

For the buyer: owning a Montreve cabin

A year in the rental program	Downside	Base	Upside
Gross rent	$75,000	$95,000	$118,625
Management fee (25%)	-$18,750	-$23,750	-$29,656
Utilities, pool service, maintenance, insurance	-$22,000	-$22,000	-$22,000
Property tax and club dues	-$11,250	-$11,250	-$11,250
Total: net before mortgage	**$23,000**	**$38,000**	**$55,719**
Cash yield on $1.30M	1.8%	2.9%	4.3%

THE PITCH, HONESTLY

- A new, turnkey 3-bed cabin with its own indoor pool, on a 0.6 to 1.4 acre lot in a gated resort.
- Amenities a single cabin can't have: the pavilion, courts, trails and dining, and a manager on site.
- Rent offsets the cost of owning: about $38,000 a year net in the base case, a 2.9% cash yield. It's a lifestyle purchase with income, not an investment that pays for itself.
- Rent range: a comparable indoor-pool cabin reported about $80k of 2025 bookings; Will's plan assumes $650 a night at 50% (about $119k).

Market check: the premium we're asking for

$925k

listed 3-bed indoor-pool cabins in Sevierville (2022–2023 builds, asking)

$1.30M

target price: 41% above them

$1,593k

full-resort break-even: 72% above them

WHAT HAS TO CARRY THE PREMIUM

- New construction, sold furnished and rental-ready.
- Bigger lots and privacy (average 0.88 ac).
- Resort amenities and a wedding venue on site.
- Views on lots 11–15 and 18–22.

Listings are asking prices from Oct 2026 searches, not closed sales. Before pricing, pull Smoky Mountain MLS closed sales for new 3–4 bed cabins with pools and resort or gated communities, and test pricing with the first homes.

What has to be true

Water and wastewater

Records conflict on public water and sewer vs. septic. A utility letter and a septic or sewer capacity study set how many cabins and guests the site can hold.

Slope and access

Every lot slopes. A topographic survey and geotechnical report decide whether the pavilion, courts and parking fit where shown, and what walls cost. Fire access for events needs review.

Use approval

Sevier County must confirm in writing that a wedding venue, dining and short-term rentals are allowed together here.

The January 11 maturity

The $5.3M loans mature long before a resort opens. Extend or refinance them first, with lender consent to the plan.

Buyers at $1.30M

Sell the first homes at the target price before starting the 17 new cabins.

Reconciled costs

The $7.13M spent to date and the $270k left on the contract need reconciling to the ledger and the bank.

Next 90 days

When	What	Unlocks
Now – Jan 11	Extend or refinance the 7 home loans; insurance and certificates of occupancy on the finished homes	Time to sell
30 days	Boundary and topographic survey, title and easements; utility letters (water, sewer, power)	Real lot lines, where things fit
45 days	Geotechnical report; civil concept for the resort core, parking and fire access	Buildable pavilion and courts
45 days	Pre-application meeting with Sevier County planning; written use determination	The approval path
60 days	Closed-sale comps and broker pricing opinion; list the first finished homes at $1.30M	Proof of price
75 days	Builder pricing for 17 cabins and the resort core; choose program A, B or C	A bid budget
90 days	Investor package: final budget, cash flow, structure (cabin sales plus a separate venue company)	Raise the capital

Assumptions and sources

- **Lot map:** Montreve vector lot map (Oct 6, 2026), drawn from the recorded May 11, 2007 plat (LMB 9/90). Lots scaled to feet from the listed acres (119 ft per inch on the poster); lots 18, 22, 26, 27, 28 and 33 draw smaller than listed.
- **Business plans:** Montreve Smoky Mountain Resort Business Plan (prepared for Will E., Oct 22, 2026): program, amenity allowances, operating assumptions, costs to date, loan balances. Montreve Mountain Club fractional plan (Sep 18, 2026).
- **Cabin:** owner-supplied floor plans: 684 + 880 + 880 sf, redrawn as vector PDFs.
- **Market:** active Sevierville listings and local management fee ranges (20–35% of gross rent) found Oct 30, 2026.
- Break-even = total cost ÷ (24 cabins × (1 − 7.5% selling cost)). Total cost includes the reported spend to date.
- All 24 cabins sell; no lot-only sales, and no value is given to the resort business at the end.
- Financing is a simplified carry, not a loan model; no income taxes.
- Owner income is an illustration, not an offer: fractional or rental-pool structures need Tennessee time-share and securities counsel.
- Files: Montreve_Site_Plan.pdf, Montreve_Cabin_Plans.pdf, Montreve_Budget_ProForma.xlsx (live formulas).